

# Executive Summary: The Hidden Economic Opportunity in Oman's Energy Transition

Unlocking "Found Money" through Economic Decision Intelligence for Vision 2040

## The Challenge: Oman's 541 Million OMR Subsidy Burden

Oman's power sector, while vital for national development, faces a significant financial challenge. In 2024, the government provided a substantial **541.1 million OMR** in subsidies to bridge the gap between the economic cost of electricity (1,306.3 million OMR) and consumer revenues (765.1 million OMR) <sup>1</sup>. This highlights a systemic economic inefficiency that demands intelligent solutions.

While existing operational systems ensure grid stability, they often overlook real-time economic optimization. This leads to an "**Economic Decision Gap**" – a quantifiable financial leakage where energy assets are dispatched based on technical rules rather than dynamic market signals. As Oman invests heavily in intermittent renewable energy and flexible assets, this gap is set to widen, making traditional operational approaches increasingly costly.

## The PREDAIOT Solution: The Shadow Economic Engine

PREDAIOT introduces the **Shadow Economic Engine (SEE)**, an advanced AI-driven platform that acts as an "Economic Brain" for energy assets. The SEE operates in parallel with existing control systems, providing real-time economic dispatch signals to maximize revenue and minimize operational costs. It augments, rather than replaces, your current infrastructure, ensuring seamless integration and immediate impact.

## Proven Value: 862,903 OMR in "Found Money" per Asset

PREDAIOT's proprietary simulation, utilizing official 2022 Omani energy data, demonstrates the profound financial benefits of economic intelligence. By optimizing the dispatch of a single **500MW Battery Energy Storage System (BESS)**, our analysis reveals an additional **862,903 OMR in annual revenue**. This represents pure "Found Money" – a **9.1% to 15% increase in profitability** achievable without any new capital expenditure on hardware.

This value is generated by dynamically identifying the most profitable times to charge and discharge assets, capitalizing on real-time price volatility and demand fluctuations. The SEE transforms operational decisions from cost centers into profit drivers.

## Case Study Highlight: Ibri 2 Solar PV

Even for a large-scale solar PV plant like **Ibri 2 (500 MW)**, PREDAIOT's economic intelligence can unlock significant value. While solar generation is intermittent, our platform can:

- **Optimize Grid Interaction:** Advise on optimal bidding strategies and quantify economic losses from curtailment.
- **Value Flexible Assets:** Precisely quantify the Return on Investment (ROI) of integrating flexible assets (e.g., BESS) for economic arbitrage, not just technical smoothing.

## The Market Opportunity: A Multi-Million OMR Landscape

The Economic Decision Gap presents a substantial market opportunity in Oman:

- **Total Addressable Market (TAM): 541 Million OMR** – The total annual government subsidy in the Omani power sector, indicating the scale of inefficiency that can be influenced.
- **Serviceable Addressable Market (SAM): 522 Million OMR** – The portion of the total economic cost directly influenced by flexible assets and renewable energy integration, where PREDAIOT can create direct value.
- **Serviceable Obtainable Market (SOM): 52 Million OMR** – PREDAIOT's realistic 3-year target, aiming to capture 10% of the flexible and renewable asset optimization market.

## Strategic Call to Action

Oman's energy transition under Vision 2040 demands not just technical innovation, but economic intelligence. PREDAIOT offers a clear, low-risk pathway to unlock hidden value within your energy assets.

**Book a 24-hour Economic Audit for your asset today** to receive an immediate, quantifiable assessment of the "Found Money" you are currently leaving on the table. Transform your operational decisions into strategic financial advantages.

## References

- [1] Authority for Public Services Regulation (APSR). (2024). Annual Report on the Performance of the Electricity Sector. Retrieved from
- [2] Nama Power & Water Procurement (PWP). (2022). MIS Demand Data (2013-2022). Retrieved from
- [3] Ministry of Energy and Minerals, Oman. (2025). Total Renewable Energy Plants Capacity. Retrieved from

[4] Asian Infrastructure Investment Bank (AIIB). (2020). Oman: Ibri II 500MW Solar PV Independent Power Plant Project. Retrieved from